

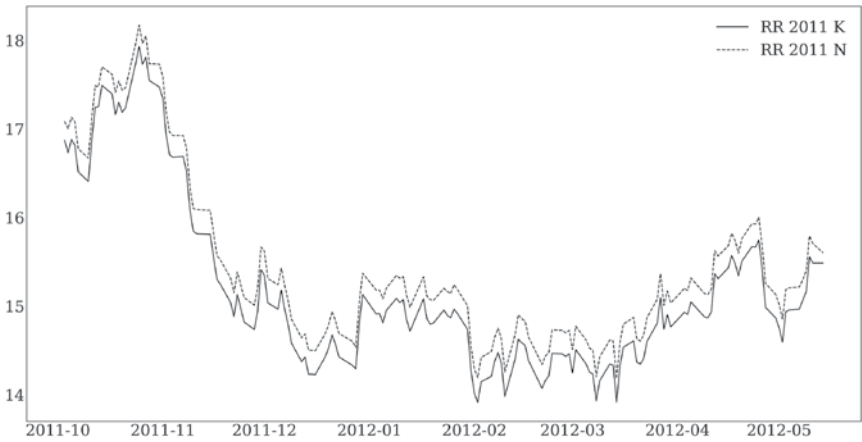


FIGURE 2.4 Rough rice basis gap.

cannot simply put one contract's price series after another. Doing so would introduce artificial gaps in the data where there really are no gaps in the actual market. What is required to do proper back-testing simulations is a continuous time series that reflects the actual market behaviour, which does not necessarily mean that it reflects the actual prices at the time. Consider the time series in Figure 2.5, which is a completely unadjusted time series where contract after contract have just been put back to back. The closest contract has always been selected and held until expiry, when the next

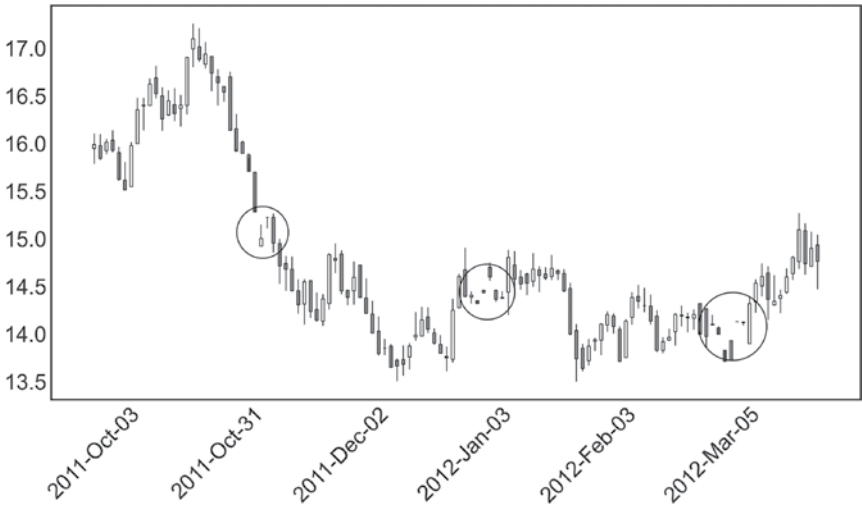


FIGURE 2.5 Unadjusted time series for rough rice.